23

The Presidency Banks

THE ORIGINS OF THE STATE Bank of India date back to the first decade of the nineteenth century when the Bank of Calcutta was established in 1806 and later received its charter as the Presidency Bank of Bengal. The Bank of Bengal commenced business in 1809. This was followed by the setting up of two more banks in the Presidencies of Bombay (1840) and Madras (1843). All these banks were founded at the initiative of the British in the three Presidencies in which the East India Company operated. Primarily Anglo-Indian creations, these banks came into existence either as a result of the compulsions of imperial finance or by the felt needs of local European commerce. They were not an arbitrary attempt to modernize India's economy. These three banks remained at the apex of modern banking in India, with the Bank of Bengal dominating the period 1806–76.

THE BANK OF BENGAL

The Bank of Bengal was the brainchild of Henry St George Tucker, the Accountant General of Bengal, who eventually went on to become the Chairman of the mighty East India Company. The original scheme for the Bank of Bengal was drawn up in 1801, two years after Tipu Sultan's defeat in the battle of Seringapatam at the hands of Lord Mornington (later Marquess of Wellesley) the then Governor General of Bengal. At the turn of the eighteenth century, the East India Company's government in Bengal was under severe financial strain largely on account of the wars waged by Wellesley and the continuous demand of the Company for a regular share